

produce another good will increase. To be more precise, increasing opportunity costs theory implies that a country by increasing amount of one commodity country must give up to release just enough resources to produce additional unit of another commodity.

Offer Curve

A curve that shows how much a nation requires to import commodity in exchange for various quantities of its export commodity. This curve is also known as the reciprocal demand curve.

2.12 SOME USEFUL REFERENCES

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2.13 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Refer to section 2.2
- 2) Refer to section 2.3
- 3) Refer to section 2.4

Check Your Progress 2

- 1) Refer to section 2.5
- 2) Refer to section 2.5
- 3) Refer to section 2.5

Check Your Progress 3

- 1) Refer to section 2.6
- 2) Refer to section 2.9
- 3) Refer to section 2.6
- 4) Refer to section 2.8

